

Daily Market Summary

August 03, 2026

Market Tone — Today's Session

A recap of how the market traded today — not a forecast.

Today: **+0.39** → **Bullish**

Trend (5-day EMA): **+0.13** → **Slightly Bullish** — smoothed, the readable day-over-day signal.

Component	Weight	Score
Market data	70%	+0.49
News headlines	20%	+0.33
Fed (rate expectations)	10%	-0.12

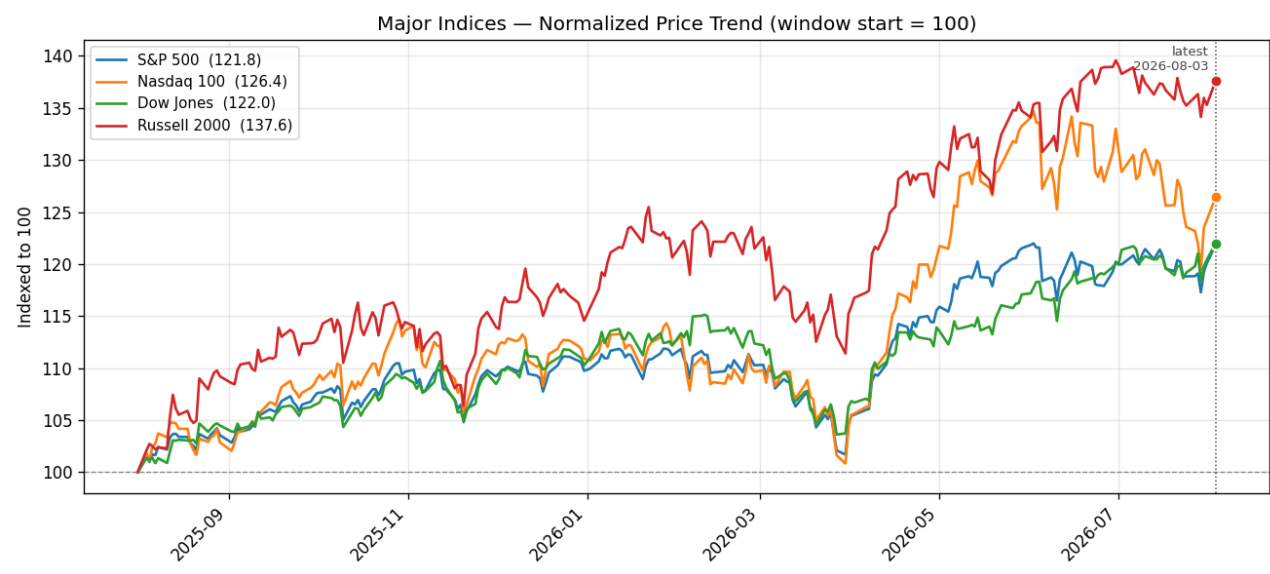
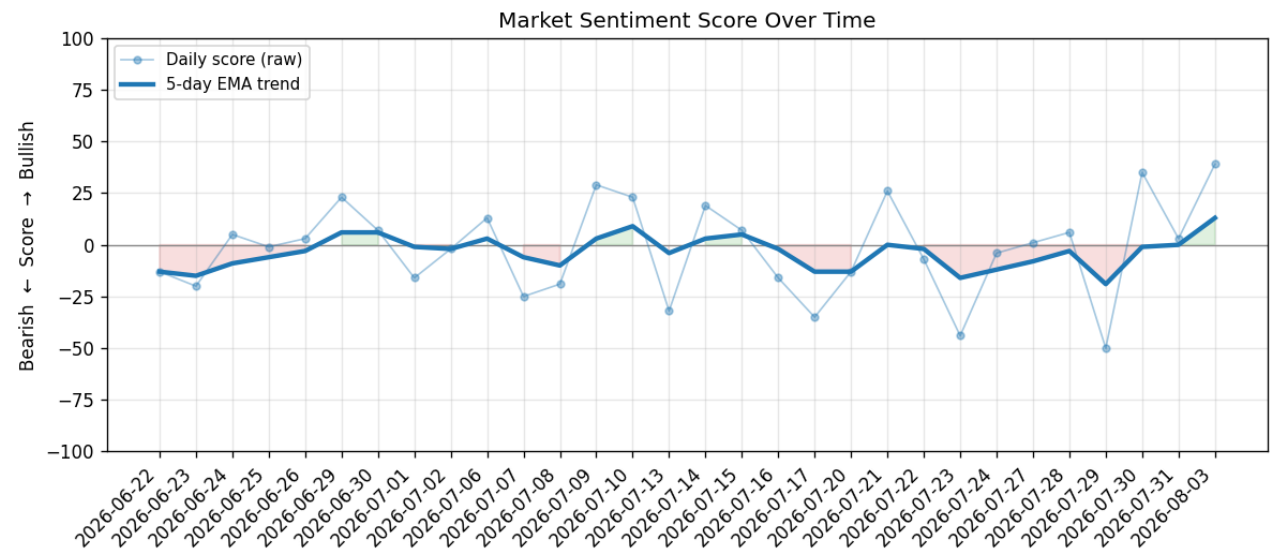
Equities rose with Nasdaq +1.8%, S&P 500 +1.5%, VIX -0.8%. Sector breadth: 8/11 sectors up. 10Y yield -1.2%. News headlines read bullish. Fed-policy expectations tightened (13-Week T-Bill Yield +1.8bp). Today's overall market tone: Bullish. (news scored with finbert)

Standout headlines

Most bullish (+0.91) — Palantir's stock climbs after earnings, as AI drives turbocharged growth

Most bearish (-0.51) — Kalshi traders think July jobs report will come in slightly cooler than economists' predictions

Trend Charts



Sector Watch (AI Stack)

Score describes the day: driven by the session move (70%), with breadth (avg % of the 20/50-day MAs the basket trades above, 15%) and news (15%) for texture. Relative strength (vs the Nasdaq for tech baskets, the S&P for the rest) is shown as a context column but doesn't drive the label. Sorted strongest→weakest.

Sector	Move	Rel. Str.	Breadth	News	Overall
Hyperscalers & Neoclouds	+6.02%	+4.24% vs Nasdaq	64%	Slightly Bullish	Bullish (+0.84)
Networking / Interconnect	+3.31%	+1.53% vs Nasdaq	43%	Bullish	Bullish (+0.82)
SaaS	+2.10%	+0.32% vs Nasdaq	89%	Neutral	Bullish (+0.80)
Semiconductors / Compute	+1.33%	-0.45% vs Nasdaq	30%	Neutral	Bullish (+0.46)
Consumer	+1.14%	-0.34% vs S&P	44%	Neutral	Bullish (+0.45)
Banking	+0.85%	-0.63% vs S&P	62%	Neutral	Bullish (+0.44)
Pharma / Healthcare	-1.19%	-2.67% vs S&P	62%	Neutral	Bearish (-0.45)
Memory (DRAM/NAND/HBM)	-1.07%	-2.85% vs Nasdaq	12%	Neutral	Bearish (-0.56)

Positioning & Regime

Was today bullish or bearish, read through positioning: out-of-the-money put/call volume (hedging vs chasing, daily) and short %-of-float (squeeze fuel; exchange data, biweekly) explain the character of the day's move — squeeze rebound, hedged advance, conviction selling. **Under evaluation** — logged daily, drives no scores.

Basket	OTM P/C	Short Flt	Day	Today's Read
Banking	1.66	0.0%	+0.85%	Bullish — advance, but heavily hedged — protection still bid
Pharma / Healthcare	1.24	1.8%	-1.19%	Bearish — orderly decline; positioning unremarkable
Semiconductors / Compute	1.22	2.4%	+1.33%	Bullish — advance, but heavily hedged — protection still bid
Memory (DRAM/NAND/HBM)	1.09	5.7%	-1.07%	Bearish — orderly decline; positioning unremarkable
Networking / Interconnect	1.04	4.3%	+3.31%	Bullish — broad advance; positioning unremarkable
Hyperscalers & Neoclouds	0.67	1.7%	+6.02%	Bullish — broad advance; positioning unremarkable
SaaS	0.57	5.4%	+2.10%	Bullish — broad advance; positioning unremarkable

Consumer	0.56	2.0%	+1.14%	Bullish — broad advance; positioning unremarkable
All tracked	0.88	2.4%	+1.21%	Bullish — broad advance; positioning unremarkable

Bloomberg News Summary

Stocks & Bonds Rose as US-Iran Hopes Spur Oil Drop | The Close 8/3/2026 (aired 2026-08-03) · Full-transcript summary · [watch on YouTube](#)

Key takeaways

Stocks rallied for a third straight session as S&P 500 closed above 7,600 (+1.5%) and Nasdaq gained 2%, with the indices now trading above all key moving averages following July's turbulence. Oil dropped 5% while Treasury yields declined, aided by dollar intervention to support the yen.

AI/tech momentum rebounded after brutal selloff, with Morgan Stanley's Mike Wilson citing "large player exiting" as marking endpoint of momentum unwind. Amazon crossed \$3 trillion market cap (+4.6%) on AWS strength; communication services led sectors (+4.3%). Rotation favoring quality names with stable earnings over pure speculation.

Fed credibility crisis deepened as Chair Warsh's lack of transparency at last week's meeting triggered bond volatility spike. Options market skew hit highest since 2008 financial crisis as investors position for higher yields. Factory activity surged to highest since 2022, complicating inflation outlook.

After-hours earnings beats: Palantir raised full-year guidance to \$8.15-8.16B (from \$7.66B) on 35-40% Q2 growth, shares +8%; ON Semi topped estimates with strong Q3 guide; Snap surged 12% on ad revenue strength.

Guest views

Mona Mahajan, Edward Jones: Next AI phase shifts from infrastructure to adoption across financials, healthcare, industrials where productivity gains haven't materialized yet; tech earnings justify valuations after reset.

Randy Schwimmer, Churchill Asset Management: Private credit entering "platinum era" with 9% unlevered yields sustainable long-term; default rate methodology varies widely (Fitch 6% includes restructurings vs. others' 2%); old-economy service businesses prove resilient.

Mandy Xu, Cboe: Bond market volatility and put demand hit post-crisis highs as investors question Fed credibility; equity dispersion trade persists but macro risks building through credit channel and AI financing circular dependencies.

Julie Zhu, Moffett Nathanson (neutral, \$121 PT on SpaceX): Launch business is "crown jewel" but identity crisis across segments; terrestrial AI deals at 2-3x normal pricing unsustainable; elevated capex/cash burn continues.

Dan Dolev, Mizuho (underperform on Circle): Only upside if rates rise; 140+ banks building competing stablecoin infrastructure will fragment market; payments industry controls future of digital money, not Circle.

Stocks & sectors discussed

Amazon hit \$3T market cap on AWS momentum; Boeing +8% on 737 MAX 7 FAA approval and BNP upgrade; eBay -6% on Wells Fargo downgrade citing competitive threats from European rival Vinted; AstraZeneca ADRs -6% on Bristol Myers megamerger speculation; Yum Brands -3% on cyclospora outbreak timeline questions.

"You can't fool the bond. The bond will see through it... If this continues, the bond will continue to reflect a greater inflation risk premium. The only one who will be crying will be the taxpayer." —

Market commentator on Fed Chair Warsh's transparency issues

Top Gainers

Company	Price	% Change
Atkore Inc. (ATKR)	93.55	+28.22%
CoreWeave, Inc. (CRWV)	85.76	+19.49%
Polibeli Group Ltd (PLBL)	6.39	+17.68%
Applied Optoelectronics, Inc. (AAOI)	110.21	+16.85%
Butterfly Network, Inc. (BFLY)	8.22	+15.61%

Top News

Best high-yield savings interest rates today, Monday, August 3, 2026: You can earn up to 4.15% APY
— Yahoo Finance

Microsoft’s stock is on a run not seen in 26 years — erasing its year-to-date losses — MarketWatch (Top)
The rally in Microsoft shares “has legs” because its capital spending is showing a payoff.

Kalshi traders think July jobs report will come in slightly cooler than economists’ predictions — CNBC (Finance)
Speculators on the platform place just under 50-50 odds that employers added more than 80,000 jobs in July.

Chinese copper foil giant Londian Wason eyes \$1.7 billion valuation in US IPO — Investing.com

Gold prices today, Monday, August 3, 2026: Gold prices open higher after U.S. pauses planned airstrikes — Yahoo Finance

Market Snapshot

Major Indices

Instrument	Price	Change	% Change
S&P 500	7,600.50	+110.78	+1.48%
Nasdaq 100	28,776.80	+502.61	+1.78%
Dow Jones	53,178.41	+693.38	+1.32%
Russell 2000	2,981.91	+50.57	+1.73%
VIX	15.86	-0.13	-0.81%

Key Stocks

Instrument	Price	Change	% Change
Nvidia	206.64	+5.89	+2.93%
Microsoft	487.65	+22.93	+4.93%
AMD	484.64	+8.49	+1.78%
Meta	590.24	+33.53	+6.02%
Alphabet	372.47	+15.82	+4.44%
Broadcom	392.23	+2.95	+0.76%
Micron	829.50	+6.47	+0.79%
Intel	91.00	+0.80	+0.89%
SanDisk	1,288.03	+73.20	+6.03%
Coherent	288.14	+25.25	+9.60%
Amazon	284.02	+12.44	+4.58%
Apple	303.42	-5.49	-1.78%
Arm	239.06	-0.63	-0.26%

Commodities & Crypto

Instrument	Price	Change	% Change
Gold	4,107.20	+16.70	+0.41%
Crude Oil	79.90	-0.44	-0.55%
Bitcoin	63,441.67	-57.82	-0.09%

FX Rates

Instrument	Price	Change	% Change
EUR/USD	1.15	-0.00	-0.02%
USD/JPY	157.61	+0.42	+0.27%
GBP/USD	1.34	+0.00	+0.00%

Interest Rates

Instrument	Price	Change	% Change
10Y Treasury Yield	4.69	-0.06	-1.24%
13-Week T-Bill Yield	3.70	+0.02	+0.49%

Analyst Summary

Market Overview

U.S. equities extended their winning streak for a third consecutive session on August 3, with major indices posting broad-based gains. The S&P 500 climbed 1.48% to 7,600.50, the Nasdaq 100 surged 1.78%, and the Dow Jones added 1.32%. The Russell 2000 also participated in the rally, gaining 1.73%. Volatility continued to subside with the VIX declining 0.81% to 15.86, as markets traded above key moving averages following July's turbulence.

Technology and AI Sector Lead the Charge

Mega-cap technology stocks drove the rally, with communication services leading all sectors at +4.3%. Meta led the charge among major tech names with a +6.02% surge, while Microsoft jumped 4.93% on momentum not seen in 26 years, erasing its year-to-date losses. Alphabet gained 4.44%, Amazon rose 4.58% to cross the \$3 trillion market cap threshold on AWS strength, and Nvidia added 2.93%. The Hyperscalers & Neoclouds sector outperformed sharply, up 6.02% versus the Nasdaq's 4.24% gain.

Among smaller names, the AI infrastructure theme continued to attract capital. CoreWeave surged 19.49% to become the market's second-best performer, while Applied Optoelectronics jumped 16.85%. In semiconductors, Coherent soared 9.60% and SanDisk gained 6.03%, though Apple bucked the trend with a 1.78% decline. Notably, the Memory sector declined 1.07%, reflecting continued rotation within the semiconductor complex.

Top market gainer Atkore Inc. rallied 28.22%, while Polibeli Group and Butterfly Network also posted double-digit gains of 17.68% and 15.61%, respectively.

Fixed Income and Cross-Asset Signals

Treasury yields moved lower, with the 10-year yield falling 6 basis points to 4.69%, even as factory activity surged to its highest level since 2022. The bond market continues to signal concern over Fed credibility following Chair Warsh's lack of transparency at last week's meeting, with options market skew hitting levels not seen since the 2008 financial crisis. This divergence between improving economic data and falling yields suggests investors are positioning for monetary policy uncertainty despite robust activity indicators.

Commodities and Currency Markets

Gold edged higher by 0.41% to \$4,107.20, benefiting from reports that the U.S. paused planned airstrikes, providing a geopolitical tailwind. Crude oil slipped 0.55% to \$79.90, while Bitcoin dipped marginally by 0.09% despite de-escalation with Iran. The dollar strengthened against the yen (USD/JPY +0.27%), reportedly aided by intervention efforts, while EUR/USD remained essentially flat.

After-hours earnings from Palantir showed AI-driven acceleration with raised full-year guidance driving shares 8% higher, while ON Semiconductor and Snap also beat expectations, reinforcing the technology sector's fundamental strength.